

Before the
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-07

Impact Products, LLC *et al.* v. CMA CGM S.A.

RESPONDENT CMA CGM S.A.’S
MOTION TO EXCLUDE EXPERT OPINIONS OF JOHN D. MCCOWN

Respondent CMA CGM S.A. (“Respondent” or “CMA”), by counsel, moves to exclude the opinion and August 11, 2024 report of John D. McCown, the expert witness retained by Impact Products, LLC and Safety Zone LLC (collectively, “Complainants”). In a 2½ page report, Mr. McCown’s only “analysis” is to compare the average of some 73 charges at issue to an “overall container shipping industry” average on a website, then declare that all the charges (as a group) are unreasonable in violation of the Shipping Act. This kind of sweeping, unscientific approach is prohibited not only by *Daubert*, but by the well-established requirement in this Commission of a “circumstantial, fact-bound inquiry” for each transaction. *Evergreen Shipping Agency (Am.) Corp. v. FMC*, 106 F.4th 1113, 1118 (D.C. Cir. 2023). Mr. McCown’s opinion fails for three reasons: (1) lack of reliable methodology, (2) lack of relevance, and (3) lack of expertise. He cannot cure these failures by suggesting CMA take his deposition, and his opinion should be excluded.

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INTRODUCTION

This case arises out of 73 shipments in 2021 and 2022 for which Complainants seek reparations based on charges they paid to a non-party, Laufer Group International, Ltd. (“Laufer”). *See* Compl. ¶ 13. They believe the charges originated with CMA, though they admit they have no contract with CMA.¹ *Id.*

On August 11, 2024, Complainants disclosed a 2½ page report from John D. McCown to support their claims. *See* McCown Report, p. 1 (**Exhibit 1**). In the report, Mr. McCown opines that, because the *average* of all demurrage and detention charges assessed against Complainants exceeds an “overall container shipping industry” *average* on a website called www.container-xchange.com, he “believe[s] CMA CGM acted unreasonably.” *Id.*

How Mr. McCown arrived at his conclusion, other than reading two averages, is left totally to guesswork. He discloses no methodology, no specific comparisons, and no analysis of the circumstances of even a single shipment by CMA. He does not even compare the port-based charges at issue to the same regional averages on the website. Instead, he improperly attempts to shift the burden and expense of discovering his thought process to CMA, saying simply, “I’m prepared to be deposed and respond to any questions related to my opinion that CMA CGM acted unreasonably through excessive charges to [Complainants].” *Id.*

Mr. McCowan’s report would be excluded in any federal court in the country, even under a non-jury *Daubert* analysis, and the same should be true here. If it is allowed, Complainants here and in the future will no longer need to prove the details of any particular shipment, but will be able to prove Shipping Act violations *en masse* with a single expert comparing broad groups of transactions against worldwide averages. This kind of wildly unscientific approach is exactly what

¹ As explained in CMA’s Motion to Dismiss, this lack of privity is fatal to Complainants’ claims under the “direct purchaser” rule, regardless of the defects in Mr. McCown’s report.

the D.C. Circuit Court of Appeals held is prohibited in a Shipping Act analysis, as it fails to account for the variables associated with each transaction. *Evergreen*, 106 F.4th at 1118. And without that proper “fact-bound inquiry” for each transaction, Mr. McCown’s *ipse dixit* opinion about an entire group of transactions is not only unreliable, but wholly irrelevant, and therefore inadmissible.

LEGAL STANDARD

Under 46 C.F.R. 502.141(d)(2), every expert witness must produce a report that contains:

- (i) A complete statement of all opinions the witness will express ***and the basis and reasons for them***;
- (ii) The ***facts or data*** considered by the witness in forming them;
- (iii) Any exhibits that will be used to summarize or support them;
- (iv) The witness’s qualifications, including a list of all publications authored in the previous 10 years;
- (v) A list of all other proceedings or cases in which, during the previous 4 years, the witness testified as an expert in a trial, an administrative proceeding, or by deposition; and
- (vi) A statement of the compensation to be paid for the study and testimony in the proceeding.

In evaluating admissibility of expert testimony, the FMC is guided by Rule 702 of the Federal Rules of Evidence. *See* 46 C.F.R. 502.204(a) (the Federal Rules of Evidence guide the presiding officer on the admissibility of evidence); *see also Marine Repair Servs. of Md., Inc. v. Ports Am. Chesapeake, LLC*, 2013 WL 9808672 at *24 (FMC Jan. 10, 2013).

The FMC also adheres to the standard in *Daubert v. Merrell Dow Pharmaceuticals, Inc.*, 509 U.S. 579 (1993), to assess admissibility of expert opinions. As the FMC explained in *Fiat Chrysler Autos. NV v. Wallenius Wilhelmsen Logistics*, “[w]hen ruling on the admissibility of expert opinions, courts consider whether the expert is qualified in the relevant field and examine the methodology the expert used in reaching the conclusions at issue.” 2019 WL 4734341 at *2 (citing *Daubert*).

In *Daubert*, the Supreme Court held that Federal Rule of Evidence 702 tasks the judge with ensuring that the expert testimony “both rests on a reliable foundation and is relevant to the task at hand.” 509 U.S. at 597. This requires the court to determine that the expert testimony pertains to “scientific knowledge” and that it would “assist the trier of fact to understand the evidence or to determine a fact in issue.” *Id.* at 589-591. The court must also establish that the proposed expert is qualified to offer an opinion under Rule 702. *See* Fed. R. Evid. R. 702.

In this case, Mr. McCown does not meet any of these foundational requirements, and the defects in his report go to admissibility, not just weight. As explained below, even in a non-jury setting, his opinion is inadmissible and should be excluded.

ARGUMENT

I. Mr. McCown’s opinion lacks any reliable methodology.

A. Mr. McCown ignores all facts and data associated with individual shipments.

Mr. McCown’s report is fundamentally deficient because it fails to set forth the “basis” for his opinion or “[t]he facts or data considered by [him] in forming [his opinion]” as required by 46 C.F.R. 502.141(d)(2). An expert’s omission of critical facts or data from his analysis goes to the admissibility of his testimony, not its probative value. *See Smith v. Va. Commonwealth Univ.*, 84 F.3d 672, 676-77 (4th Cir. 1996) (reversing summary judgment where trial court relied on expert’s regression analysis that failed to include critical factors). “Nothing in either *Daubert* or the Federal Rule of Evidence requires a district court to admit opinion evidence that is connected to existing data only by the *ipse dixit* of the expert.” *Gen. Elec. v. Joiner*, 522 U.S. 136, 146 (1997); *see also Sardis v. Overhead Door Corp.*, 10 F.4th 268, 291 (4th Cir. 2021) (holding that expert’s opinion was unreliable under Rule 702 for failure to consider necessary data to test his theory).

Far more sophisticated opinions than Mr. McCown’s are routinely excluded where, like here, they fail to consider all variables. In *Paul v. Intel Corp. (In re Intel Corp. Microprocessor*

Antitrust Litig.), for example, the Delaware District Court excluded an expert's opinion for failing to meet the reliability standard of Rule 702 where the expert failed to evaluate essential variables in a regression analysis. 2010 WL 8591815 (D. Del. July 28, 2010). The plaintiffs had sought to certify a nationwide class of indirect purchasers of Intel microprocessors under California law. In rejecting their expert's damages analysis, the district court found the analysis fundamentally unreliable because it did not control for differences in microprocessor quality (like differences in port congestion here) and other factors (like circumstances of particular shipments here), thereby failing to isolate Intel's alleged overcharge and obscuring individual trends.

Mr. McCown's report is no different, except his failures are much more obvious. He takes no account of the specific facts and data related to the individual shipments at issue. Rather than analyzing the circumstances of each shipment as required, Mr. McCown relies entirely on a generalized comparison between (1) the average detention and demurrage charges of the "overall container shipping industry" and (2) the entire group of 73 charges assessed by CMA. *See Exhibit 1*, p. 1. In doing so, he overlooks multiple factors essential for determining whether any *specific* charges were unreasonable, including variations in service contract terms; differences in ports; differences in regions; differences in pandemic protocols; allotment of free time for containers; lengths of port closures; operational considerations affecting container handling and processing; efforts to mitigate or avoid charges; and the impact of external factors that could have contributed to delays. Instead, his oversimplified approach, rooted only in generalized data, ignores the unique details and operational realities of the individual shipments at issue, leaving the factfinder no reliable basis for deciding that any one of them was actually unreasonable.

Just as in *Intel Corp.*, Mr. McCown did not draw his conclusion based on "scientific, technical, or other specialized knowledge" under Rule 702(a). It came entirely from reading two

averages, then making the remarkable declaration that *all charges at issue* were unreasonable. Because Mr. McCown failed to consider facts or data associated with the individual shipments at issue, his opinion about CMA’s charges is not just unhelpful, but inadmissible. *See Joiner*, 522 U.S. at 146. And because his thread-bare report violates the disclosure requirements of 46 C.F.R. 502.141(d)(2), his opinion is not allowed anyway. Either way, it should be excluded.

B. Mr. McCown provides no basis comparing CMA’s specific charges with worldwide averages on a website.

Mr. McCown’s opinion is also inadmissible because he provides no basis for comparing CMA’s specific charges with worldwide averages on a website. He relies solely on a “Demurrage and Detention Benchmark” (“DDB”) report issued by the website Container xChange to justify his comparison of CMA’s charges with so-called industry averages. **Exhibit 1**, p. 1. However, his selective use of the DDB report is both misleading and methodologically flawed.

Only two values in Mr. McCown’s report are drawn from the DDB report. *Id.* at 2. His table uses \$868 for 2021 and \$664 for 2022 as categories of “CX D&D/Load,” which are derived from the DDB’s “Average D&D in USD amongst world’s biggest/busiest ports.” *Id.* at 2, 21.

Overall Industry	2021	2022	2021 & 2022
CX D&D/Load	\$868	\$664	\$734
FMC Top 9 D&D	\$4,294	\$6,241	\$10,535
Top 9 % Total	75.5%	75.5%	75.5%
Industry D&D	\$5,687	\$8,266	\$13,954
Loads Charged	6.552	12.449	19.001
TEU Charged	13.105	24.898	38.003
World TEU Volume	180.616	173.296	353.912
% Incidence	7.26%	14.37%	10.74%

Mr. McCown identifies no critical details for either figure, such as the specific ports, shipping lines, or regions used to derive the particular averages. *Id.* at 21. Indeed, he does not even identify which ports are included in the “world’s biggest/busiest ports” category on the website. Without this foundational information, the two averages Mr. McCown cites lack the necessary credibility and transparency to be subject to meaningful scrutiny, much less to serve as a valid basis for comparison with CMA’s charges here. In fact, the DDB report itself acknowledges the variability of D&D charges across different ports, shipping lines, regions, and countries—something Mr. McCown completely ignores. *Id.* at 27.

Mr. McCown also fails to account for regional differences. The DDB report highlights that North America, particularly the United States, consistently ranks as the most expensive region in the world for D&D charges due to port congestion, regulatory complexities, and infrastructure challenges. *Id.* at 29. And in this case, the majority of the charges at issue originated at U.S. ports, specifically New York and Los Angeles, which the DDB report ranks among the overall most expensive for D&D charges, with New York #1 and Los Angeles at #3. *Id.* at 23. The DDB report further reveals that the D&D charges at these ports averaged approximately \$3,875 in 2022, significantly higher than the \$2,380 per load that Supply Source says it was charged, according to Mr. McCown’s own table. *Id.* at 2, 30.

Mr. McCown’s use of only the two figures above—both *worldwide averages*—to proclaim that all of CMA’s charges were “unreasonable” underscores the fundamental flaw in his analysis: he compares CMA’s specific charges against vague, unverifiable, and likely irrelevant global averages, rather than against more directly comparable benchmarks. As a result, even ignoring his failure to analyze all variables associated with the shipments, his lack of any basis for his disconnected comparison renders his opinion fatally defective and therefore inadmissible.

C. The website Mr. McCown cites is not reliable for an expert report.

His opinion is also inadmissible because the website he cites for his two key datapoints is not itself reliable (or even intended to be), even if Mr. McCown's comparisons were legally and scientifically valid. Mr. McCown attempts to bolster his opinion by describing Container xChange as a "company whose data comes from logistics companies it has as customers." *Id.* at 2. Contrary to Mr. McCown's portrayal, however, the DDB report explicitly states that its data was not derived from logistics companies, but was instead gathered through a "web scraping technique" of several, but not all, of the major shipping lines' websites. *Id.* at 20. This alone should render it unusable for the comparative purposes Mr. McCown attempts here.

The DDB report itself acknowledges the potential inaccuracies inherent in its methodology, cautioning readers that despite efforts to ensure accuracy, there are significant "limitations . . . such as website updates, temporary unavailability of data, or variations in how shipping lines present their fee structures." *Id.* These limitations raise serious concerns about the reliability of the data, and the DDB report even advises readers to "verify the information with *primary sources* for the most up-to-date and accurate data." *Id.* at 21. *Nowhere* in his report does Mr. McCown disclose this disclaimer, much less identify any steps taken to verify the data with primary sources.

The reliability of the DDB report's data is further compromised by its incompleteness. As clearly stated in the report's disclaimer, "[t]his year's report on Demurrage and Detention fees does not include data from Maersk due to unavailability on their website." *Id.* at Disclaimer. Maersk is one of the largest shipping lines in the world, so its omission alone from the averages Mr. McCown uses completely compromises his comparison. In fact, Container xChange states in the DDB report that it omitted Maersk data from "the entire four-year pool." *Id.*

Given these significant, acknowledged holes in the website data, even if Mr. McCown's comparison were legally and scientifically proper (it is neither), his opinion is still inadmissible because the essential data he cites is not reliable.

II. Mr. McCown's opinion on generalized averages is not relevant to the "circumstantial, fact-bound" analysis of each transaction required by this Commission and the D.C. Circuit Court of Appeals.

In addition to a failed methodology, Mr. McCown's opinion about worldwide averages is also inadmissible because it has no relevance to the individualized analysis required in this case. For evidence to be admissible in FMC proceedings, it must be "relevant, material, reliable and probative." 46 C.F.R. 502.204(a). Under Federal Rule of Evidence 401, "[e]vidence is relevant if: (a) it has any tendency to make a fact more or less probable than it would be without the evidence; and (b) the fact is of consequence in determining the action."

Mr. McCown's reliance on broad industry averages does not satisfy these requirements, as it does not in any way help the factfinder determine whether the specific detention charges at issue were or were not reasonable. By aggregating generalized data and comparing only averages of large groups, his report says nothing about the specific shipments in question.

It is well settled that a Shipping Act inquiry into charges for demurrage and detention must involve a "circumstantial, fact-bound inquiry" into the particulars of each transaction, including conditions at the terminal, conduct of the parties involved, and actual impact of any delays on the individual shipments in question. *See Evergreen Shipping Agency (Am.) Corp. v. FMC*, 106 F.4th 1113, 1118 (D.C. Cir. 2023).

Mr. McCown's report does none of this. As such, regardless of its reliability, it is unhelpful to the factfinder and irrelevant to this proceeding. What is more, if allowed, it presents a high likelihood of unfairly prejudicing CMA by exposing CMA to a profoundly improper comparison

disguised as an expert opinion. *See, e.g.*, Fed. R. Evid. 403. And perhaps worst of all, it will serve as a guidepost for future complainants seeking to avoid the rigors of individual proof required by *Evergreen*. Complaints will need only to calculate an average of a group of unrelated destination charges, then have a purported expert check whether that average is higher or lower than the averages on www.container-xchange.com. Respectfully, this Commission should not indulge that kind of artificial proof.

Because Mr. McCown’s opinion is irrelevant to the analysis required in this Commission, and because it presents a high risk of unfair prejudice if allowed, all of it should be excluded.

III. Mr. McCown lacks qualifications to opine about maritime billing practices.

Lastly, even ignoring all other problems with Mr. McCown’s opinion, he lacks the expertise to express it. His report falls short of the requirements of 46 C.F.R. 502.141(d)(2)(iv) and Rule 702, which mandate the inclusion of his qualifications, such as a resume or curriculum vitae, to substantiate appropriate expertise. Instead, he offers only the smallest narrative description of his general “familiar[ity] with the topic and industry factors” and his “four decades of *operating and investment experience* in the container shipping industry.” **Exhibit 1**, p. 1. None of this relates to maritime billings for demurrage, detention, per diem, or storage fees.

Under Rule 702, an expert witness must be “qualified as an expert by knowledge, skill, experience, training, or education.” And under 46 C.F.R. 502.141, he must disclose those qualifications in his report. In this case, Mr. McCown is not qualified, and his report confirms it. To evaluate the propriety of the demurrage, detention, per diem, and storage fees at issue, Mr. McCown needed to disclose expertise related to maritime billing practices, not maritime investments or shipping websites. He did not do so, presumably because he does not have the expertise, and he should not be permitted to express an opinion here.

CONCLUSION

For all these reasons, CMA respectfully requests that the Commission exclude Mr. McCown's report and opinion from this proceeding, preclude Complainants from relying on it in their proposed findings and briefs, and grant CMA all other just relief.

Dated: August 30, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 30th day of August 2024, a true copy of the foregoing was served by electronic mail on all counsel of record as follows:

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